Legal Aspects of IT and E-Commerce

Lecture 5

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Legal Protection of Data

- confidential information, trade secrets
  - protected by common law of confidentiality
- official secrets
  - Official Secrets Ordinance (Cap 521)
  - National Security Law in HK (if involves collusion with foreign country/organisation)
- personal data
  - Personal Data (Privacy) Ordinance (Cap 486)

Personal Data (Privacy) Ordinance, Cap 486

- enacted in August 1995 to protect the privacy of individuals in relation to personal data
- much influenced by the OECD Guidelines and the European Directive

NB. Not about personal privacy but data privacy!

Key Terms: s.2

- "data" = any representation of information (including an expression of opinion) in any document, and includes a personal identifier

NB. The data must be recorded in a document. Verbal information or information kept merely in human memory is not data within PD(P)O.

- "personal data" = any data
  - **relating** directly or indirectly to a living individual; ("attribution")
  - from which it is **practicable** for the identity of the individual to be directly or indirectly ascertained; ("identification") and
  - in a form in which access to or processing of the data is practicable ("retrievability")

NB. Does not cover data relating to legal persons such as corporations.

- judicial interpretation of "personal data"
  - *Durant v Financial Services Authority* [2004] FSR 28 (CA)
    - » not all information retrieved from a computer search against an individual's name or unique identifier is personal data
    - » whether or not information is "personal" depends on its relevance or proximity to the data subject (ie. must relate to the data subject)

- » personal data must affect data subject's privacy, whether in his personal or family life, business or professional capacity

- » 2 useful pointers:
  - ✓ whether the information is biographical in a significant sense ie. not mere record of a person's involvement in an event with no personal connotations

  - ✓ whether the information is one of focus ie. has the data subject as its focus rather than some other person or event in which he is involved

- guidance of Information Commissioner's Office (UK)
  - » personal data must "relate to" an individual
  - » relevant factors:
    - ✓ is the data about an individual? eg. salary of a position vs salary of an employee
    - ✓ the purpose of processing the data eg. telephone call logs for assessing how often calls were answered vs assessing performance of the employee

- "practicable" = "reasonably practicable"
  - question of degree depending on nature of the data and resources of the data user
- "processing" includes "amending, augmenting, deleting or rearranging the data, whether by automated means or otherwise"
- "use" includes "disclose or transfer the data"

NB. Data need not be computerised.

NB. HKID number alone may not be personal data. But HKID number publicly displayed has the risk of being passed to someone who has the means of ascertaining the data subject ie. becomes personal data!

NB. In addition, HKID number may be used as a key for searching other data which, when combined with HKID number, is likely personal data.

- code of practice on ID card number and other personal identifiers - compliance guide for data users: **(*RR)**
  - always consider less privacy-intrusive alternatives to collecting HKID numbers wherever practicable;
  - check whether collection of HKID numbers in the circumstances is authorised by law;
  - should not publicly display HKID numbers and names together;
  - should not issue cards bearing HKID numbers (except driving licence);
  - ……

Q: Generally speaking, is exam script personal data? If so, of whom? **(*RR: Privacy Commissioner's Report R08-10578)**

Cf. "Retention of and access to examination-related personal data" under HKU's "Notice to Students sitting University Examinations".

Persons Affected by PDPO

- "data subject" = the living individual who is the subject of the data
- "data user" = the person who, either alone or with others, controls the collection, holding, processing or use of the data

NB. The data user must have "control", but may not have the right to collect, hold, process or use the data.

- s.2(12): a person is not a data user in relation to a personal data if he holds, processes or uses the data solely on behalf of another person if, but only if, he does *not* hold, process or use the data for his own purposes

NB. Most relevant to data processing centres and employees. But note that s.2(12) does not mention "collection".

Data Protection Principle 1 (DPP1): Sched 1

1. Personal data shall not be collected unless
   a) for a lawful purpose directly related to an activity of the data user;
   b) the collection of data is necessary for or directly related to that purpose; AND
   c) the data are not excessive in relation to that purpose

2. means of collection must be lawful and fair

NB. “Unfair" = unfair to the data subject, including whether the means is within the reasonable expectation of the data subject eg. deception, coercion, covert recording, taking pictures of individuals in private premises from outside without consent, acquiring data knowingly from a source that obtained it by unlawful / unfair means.

3. if data collected from the data subject, he must be informed of
   - whether it is obligatory to supply the data;
   - the purpose (in general or specific terms) of use and classes of potential transferees; AND
   - before 1st use of data, his access and correction rights and the contact for handling such requests

NB. Rule 3 not applicable if compliance with it would likely prejudice the purpose for which the data were collected and that purpose is exempted from DPP6 under Part VIII, eg.

- **data collected for news activity,**
- **data collected for law enforcement (more later).**

Q: Is taking a picture of someone without having obtained consent and publishing it on newspaper a breach of DPP1?

Cf. *Eastweek v Privacy Commissioner* [2000] 1 HKC 692 **(*RR)**

- collection of personal data must be for compiling information about an **identified** person OR a person whom the data user intends to identify

DPP2

- personal data should be kept accurate
- if reasonable grounds for believing that data is inaccurate
  - must not use the data until rectified, or
  - erase the data
- if practical to know that data disclosed to 3rd party was inaccurate at time of disclosure
  - must inform the 3rd party, and

  - provide particulars to the 3rd party to enable rectification

- personal data should not be kept longer than is necessary for fulfillment of the data purpose
- if engages a data processor (within or outside HK) to process data, must adopt contractual or other means to prevent personal data transferred to the data processor from being kept longer than is necessary for processing the data

NB. s.26 imposes a duty on data users to erase personal data held if they are no longer required for the purpose for which they were used unless

- **such erasure is prohibited under any law (cf. Inland Revenue Ordinance requirements); or**
- **it is in the public interest (including historical interest) for the data not to be erased**

DPP3

- personal data shall not, without the *prescribed consent* of the data subject, be used for a new purpose ie. any purpose other than
  - the purpose for which they were to be used at time of collection; or
  - a directly related purpose

- "prescribed consent": s.2(3)
  - express consent given voluntarily
  - excludes consent withdrawn by notice in writing

NB. "Prescribed consent" need not be in writing!

NB. "Prescribed consent" not exactly the same as "consent" in direct marketing (see later).

Q: How do DPP1 and DPP3 operate when a data user obtains personal data from another data user?

- a "relevant person" (eg. parent of a minor, guardian of a mentally incapacitated: s.2(1)) may give prescribed consent on behalf of the data subject if he has reasonable grounds for believing that use for the new purpose is clearly in the interest of the data subject: DPP3(2)(c)

NB. Even with prescribed consent from the relevant person, data user must not use personal data for the new purpose unless has reasonable grounds for believing that such use is clearly in the interest of the data subject: DPP3(3).

E1: Bank X collects data from an individual Y who is advised that the data purpose includes processing of his application and servicing of his accounts at the bank. X then transfers the data to a credit reference agency Z for advice on Y's creditworthiness.

E2: Similar to E1. Z transfers the data to an insurance company W.

Recommended Reading

- Code of Practice on ID Card Number and Other Personal Identifiers – Compliance Guide for Data Users (Aug 2024)
- Privacy Commissioner's Report R08-10578
- Eastweek v Privacy Commissioner [2000] 1 HKC 692